NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

FINANCIAL REPORING

CAC 4101

EXAMINATION

FEBRUARY 2022

This examination paper consists of 6 pages

Time Allowed: **3 hours**

Total Marks: **100**

INSTRUCTIONS

1. Answer all questions
2. Each question carries 25 marks
3. Use of calculators is permissible

MARK ALLOCATION

QUESTION	MARKS
1.	25
2.	25
3.	25
4.	25
TOTAL	100

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Question 1 (25 Marks)

Explain by illustration the following terms:

(a) Weighted interest (IAS 23).

(b) Implicit Interest (IFRS 16)

(c) Interest income recognition (IFRS 15)

(d) Interest on deferred payment on PPE acquisition (IAS 16)

(e) Interest paid disclosure in Statement of cash flow (IAS 7)

Question 2 (25 Marks)

Blueberry Ltd is an agribusiness company that started operating 5 years ago. Your company is considering purchasing shares in Duplex Ltd. The following draft financial statements for the reporting period 30 November 2021 have been given to you to use in your decision making.

Income Statement

	2021 $ 000	2020 $ 000
Sales	11 200	9 750
Cost Of Sales	8 460	6 825
Net Profit before Tax	**465**	**320**
Net Profit before tax is after charging :		
Depreciation	360	280
Debenture Interest	80	60
Overdraft Interest	15	9
Audit Fees	12	10

Statement of Financial Position at 30 November 2021

	2021($ 000)		2020($ 000)	
Assets				
Non-Current Assets				
P.P.E		1 850		1 430
Patent rights		50		50
		1 900		**1 480**
Current Assets				
Inventory	640		490	
Trade receivables	1 230		1 080	
Cash and cash equivalent	80	**1 950**	120	**1 690**
Current Liabilities				
Short term loan	65		55	
Bank overdraft	110		80	

Trade payables	750		690	
Taxation	30	(955)	20	(845)
		2895		2325
Equity and Liabilities				
Ordinary Shares of $1 each		800		800
Retained earnings		1 295		925
		2 095		1 725
10% Debentures		800		600
		2 895		2 325

	Industry Average	Blueberry Ltd 2021
Asset Turnover	3.91	4.19
Current Ratio	1.90	2.00
Creditors Payment	49	37
Debtors Collection	52	40
Gearing	32.71%	26.37%
Gross Profit Margin	35.23%	30.00%
Inventory Turnover	18.30	13.90
Profit/Sales	4.73%	3.90%
Quick Ratio	1.27%	1.42%
ROCE		
Capital Employed (E +D)	18.5%	16.34%
E= Equity		
D = Debentures		

Other information: Tax rate for 2021 has been 20%. 10% debentures are convertible into 100 000 ordinary shares in 2025

Required:

a) Calculate comparable ratios for Duplex Ltd. **(5 marks)**
b) Calculate the basic earnings per share for 2021 and 2020. **(3 marks)**
c) Write a note on the diluted earnings per share for 2021. **(3 marks)**
d) Calculate the cash cycle for both years. **(2 marks)**
e) Write a report to your Finance Director analysing the performance of Duplex Ltd. (Concentrate on the liquidity and working capital management only). **(12 marks)**

Question 3 (25 Marks)

You are assisting, the Finance Manager of Triplex (Pvt) Limited, in searching for events after the reporting date that may be effected in the final accounts. The Finance Manager tells you that the previous year the auditors asked him to put through or disclose some of the events or transactions that took place or were discovered after the year end accounts had been prepared. The company's reporting period is 31 December 2021.

The functional currency is the Zimbabwe dollar(ZW)

Identify adjusting and non-adjusting events and indicate any necessary journal entries to the accounts or notes to the financial statements for the year ended 31 December 2021 from the situations below. The amounts involved are considered material. Ignore any tax implications.

Situation 1 (6 Marks)

On 1 October 2021 Triplex (Pvt) Ltd bought inventory from AFRO Ltd, a company incorporated in the United Kingdom. The transaction order was marked free on board (FOB). The invoice was for 100 000 Pounds, payable on 1 February 2022. The goods were loaded on to the ship 1 November 2021 and arrived at the company's premises by rail, from Durban port, on 31 January 2022. No forward cover was taken out. Transport and warehouse costs amounted to $30 000 000 and payment was made after year end. Applicable exchange rates were as follows:

	Spot Rate
	1 Pound =ZW $
1 October 2021	350.00
1 November 2021	400.00
31 December 2021	450.00
31 January 2022 and 1 February 2022	900.00

Situation 2 (4 Marks)

Minutes of the meeting of the board of directors held in mid-November 2021 revealed that fire destroyed a major part of inventory estimated to the value of $30 000 000 in the company's warehouse in Kelvin industrial area in Bulawayo. This inventory had not been insured.

Situation 3 (3 Marks)

A debtor who had operational and financial difficulties during the year due to COVID -19 filed for bankruptcy in January 2022. The value of the debt amounted to $500 000 000.

Situation 4 (9 Marks)

The company invested some of its surplus funds in CRYPTOCURRENCY with AfriAsia Fund Manager. and the value of the investment on 1 October 2021 was 40 000 Pounds. The directors made a provision of ZW $10 000 000 after discovering that Fund Manager was in a liquidity crisis and the situation had not improved by year end.

The investment analysts have indicated that only 20% of the investment is recoverable.

Situation 5 (3 Marks)

On 31 December 2021 the company signed a 100 000 Pounds contract with Unix Ltd to build a bonded warehouse in Norton in 2022. The project is to be funded 50% preference shares and 50% internal funds.

Question 4 (25 Marks)

Quadex Ltd is an oil prospecting company supplier of heavy duty equipment.

An extract of its nominal ledger as at 31 December 2021 is as follows

	US $
Administrative expenses	37 000
Other operational expenses	11 000
Ordinary share capital ($1 shares)	150 000
8% Debentures	500 000
Trade receivables	60 000
Cash and cash equivalents	7 300
Land and Buildings	
-cost including land	1 800 000
Accumulated depreciation at 1 January 2021	270 000
Fixture and Fittings –Cost	53 000
-accumulated depreciation at 1 Jan 2021	15 000
Retained earnings at 1 January 2021	370 300
Trade and other payables	8 000
Revenue	1 245 000
Purchases	415 000
Inventories at 1 January 2021	175 000
Gains on financial assets at fair value through other comprehensive income	5 000
Exchange differences on translating foreign operations	1500
Deferred tax on items that may be reclassified	500

The following additional information is available:

1. The cost of Land is $800 000. Due to the rising price of land in that area the company has decided to change its accounting policy to one of revaluation. At 31 December 2021 the land was valued at $1 200 000. There was no material change in the value of the buildings. The depreciation charge for the year for buildings has been correctly calculated as $40 000 and should be included in administrative expenses
2. On 1 January 2021 the company entered into a 3-year lease for a number of drilling machines at a cost of $5 000 per annum payable in advance. The computers are expected to be scrapped at the end of the three-year period. The computers had a fair value of $14 250 at the inception of the lease. Quadex Ltd is responsible for the insurance and pays an outside contractor to service the drilling machines.

Nature fraction

5 000 x 3 = 15 000

14 250

15 000

14 250

The interest rate implicit in the lease is 7% per annum and the present value of the lease payments at the inception of the lease was $14 040. The only accounting entries made in respect of the lease was to debit the cost of fixtures and fittings with first payment made $5 000 and credit cash

The depreciation charge for the year for fixtures and fittings has been correctly calculated as $10 600 based on the figures in the nominal ledger and should be presented in administrative expenses.

3. Revenue consists of consultation fees and courses run for staff of clients. At the year end, fees $25 000 had been received and included in revenue in respect of a course that was to be delivered in January 2022.
4. The closing inventory was valued at $155 000. However, included in the year-end inventory count was $5 000 in relation to training material for which a new edition was published shortly after year end. The 2012 materials cannot be used in 2022.
5. The debentures were issued in 2018 and redeemable in 2025.The 2021 interest on the debentures remains unpaid at the year end. No accounting journals have been made for this.
6. The income tax liability for the year ended 31 December 2021 has been estimated at $180 000.

Required

Prepare the Statement of profit or loss and other comprehensive income for the year ended 31 December 2021(two statement format) and the notes thereon in accordance with IFRS. **(25 Marks)**

(Expenses should be classified by function)

THIS IS THE END OF THE EXAMINATION

14 040

180 000

Time Allowed: 3 hours